



The Morning Brief

MAY 10, 2026

Streak Holds

Records extend on a 115K April payrolls beat as Hormuz exchange tests a fraying ceasefire ahead of Beijing.

S&P 500 (FRI CLOSE) ~7,399 · ↑2.3% on the week	NASDAQ (FRI CLOSE) ~26,247 · ↑4.5% on the week	BITCOIN (LIVE) ~\$80,700 · Range-bound	BRENT (FRI CLOSE) ~\$101 · ↓6% on the week	FEAR & GREED 38 · Fear (Thu read)
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SECTION 01

Markets — Week in Review

SIX CONSECUTIVE WEEKLY GAINS — AI RESET, CYBERSECURITY RESET, THEN A PAYROLLS BEAT CARRIES THE TAPE HIGHER

The S&P 500 closed Friday near 7,399 (+0.84% on the day) and the Nasdaq Composite crossed 26,000 for the first time, finishing near 26,247 per CNBC and TheStreet coverage of the close; the indices logged a sixth consecutive weekly advance, the longest run since 2024, with the S&P 500 up roughly 2.3% on the week and the Nasdaq up roughly 4.5%. The week ran two structural revaluations through the IOWN portfolio: AMD’s Wednesday print and the announcement of an expanded Meta partnership covering up to 6 GW of Instinct deployments per CNBC carried the AI-edge cohort higher (TSM, NVDA, LRCX, NXPI, KEYS, ADI, TEL all participated alongside AMD’s +18.61%), and FTNT’s Thursday print at +20.03% extended the cybersecurity sleeve on Q1 billings growth above 30% per StockTitan. QCOM advanced through the week on Tuesday’s buyback and continued analyst commentary, with Daiwa’s upgrade to Outperform Friday a forward marker. Friday’s strong April payrolls print absorbed a renewed Hormuz exchange without disturbing the tape.

S&P 500	~7,399 · ↑2.3% on the week · Sixth straight weekly gain
NASDAQ	~26,247 · ↑4.5% on the week · First close above 26,000
APRIL NFP	+115K vs +62K consensus · Unemployment held 4.3%
AMD · FTNT	+18.61% Wed · +20.03% Thu · Two single-print revaluations
BRENT / WTI	~\$101 · ~\$95 · Weekly ↓6% / ↓7% on framework hopes
CARSON’S ACTIVE LEVEL	SPY \$645.80 support · Untested · Set Apr 13

APRIL PAYROLLS BEAT REFRAMES THE CUT PATH — HARD DATA CONTINUES TO DIVERGE FROM SOFT

The Bureau of Labor Statistics reported Friday that nonfarm payrolls rose 115K in April against a 62K consensus per Trading Economics and a 55K Dow Jones consensus per CNBC, with March revised up to 185K and the unemployment rate holding at 4.3%; gains were concentrated in health care (+37K), transportation and warehousing (+30K), and retail trade (+22K). Wednesday’s ADP print at 109K (vs 99K expected) and Friday’s BLS read together describe a labor market cooling at the margin without rolling over — a configuration that supports the Fed’s patient posture into the June FOMC. Michigan Consumer Sentiment Preliminary at 49.5 (versus 49.8 prior) per the data drop continues the soft-data weakness; the divergence between hard and soft prints is

the principal analytical thread the committee has tracked since the Iran shock began moving through the consumer survey complex. Rate-sensitive IOWN holdings (NEE, BKH, ATO,

DGX) carry the principal sensitivity to the implied cut-path repricing that a stronger jobs report tends to push out.

A six-week win streak built on AI cap-ex validation, a cybersecurity beat, and a labor market that keeps absorbing geopolitical noise is the macro story heading into Beijing. The committee's working framework remains: physical-AI infrastructure has been twice-validated this month, energy carries the binary, and the cybersecurity sleeve has just delivered its cleanest single print. Research Reveals Opportunities.

Geopolitics

HORMUZ EXCHANGE TESTS THE CEASEFIRE — TRUMP DOWNPLAYS THE FRIDAY ENGAGEMENT, TEHRAN HARDENS PUBLICLY

The renewed exchange in the Strait of Hormuz that began with Thursday's assault on the USS Truxtun, USS Mason, and USS Rafael Peralta carried into Friday, with each side claiming the other initiated the engagement per CNBC and CBS coverage; US Central Command characterized the response as self-defense strikes on Iranian command-and-control nodes, while an Iranian military official asserted that retaliatory strikes south of Chabahar caused damage to US vessels per the same coverage. Trump publicly minimized the significance of the Friday exchange per CBS reporting, framing the incident as compatible with the existing ceasefire framework rather than a rupture. Senior Iranian voices have hardened in public over the weekend: Mohsen Rezaee's rejection of the US plan to reopen the Strait and a senior parliamentarian's characterization of the framework as more an American wish list than a reality per Times of Israel suggest the Tehran negotiating posture is contracting. The Strait has remained materially constrained for an extended period, with disruption to a meaningful share of regional oil supply per Reuters reporting on the broader supply environment. Tehran is expected to deliver its formal response to the US proposal via the Pakistani channel within the next two days per the same coverage.

TRUMP-XI BEIJING SUMMIT FOUR DAYS OUT — IRAN REPLACES TARIFFS AS THE LEAD AGENDA ITEM

The Trump-Xi summit on May 14–15 will be the first US presidential visit to Beijing since 2017 per CSIS coverage, and CNBC reporting indicates the Iran focus may displace planned progress on tariffs and rare earths at the meetings; Treasury Secretary Bessent has publicly framed Iran as a primary topic. Per Brookings and World Economic Forum coverage of the pre-summit positioning, US objectives include broader cooperation on energy security and oil-supply disruption, conflict de-escalation, and continued progress on rare-earth supply commitments and fentanyl-precursor controls; Chinese objectives include stability and incremental progress on Taiwan. The combination is consistent with a summit framed primarily around the Iran file rather than the trade architecture — a structural shift relative to the pre-

Hormuz expectation. The IOWN defense exposure (LMT, GD) functions as the framework-breakdown hedge into the meetings; the integrated-energy sleeve (CVX, VLO, OKE, CNX) retains forward exposure to a duration-extending supply premium if Tehran's response over the next 48 hours falls short of acceptance.

HORMUZ (WEEKEND)	Materially constrained · Regional oil supply disrupted
TRUMP POSTURE	Friday exchange minimized · Ceasefire framework held
IRAN RESPONSE WINDOW	~48 hours via Pakistani channel
TRUMP-XI SUMMIT	May 14–15 Beijing · 4 days out
BRENT / WTI (FRI)	~\$101 · ~\$95 · Weekly ↓6% / ↓7%
DEFENSE HEDGE	LMT \$512.41 · GD \$347.76 (Thu close)

On Our Radar

- 1. Week Ahead — April CPI Tuesday is the principal data event into the Beijing summit, with PPI Wednesday and Retail Sales Thursday rounding out the macro stack.** Per Kiplinger and FRED calendar compilations, headline CPI is expected at +0.6% MoM and +3.7% YoY for April, with core CPI expected at +0.3% MoM and +2.7% YoY; the headline read is anticipated to print on the upper end as energy components continue to absorb the Hormuz supply premium. PPI follows Wednesday, Retail Sales on Thursday, and Industrial Production with the Empire State manufacturing survey on Friday. New York Fed President John Williams is scheduled to speak Tuesday. The hot-headline-with-cooling-core configuration would map cleanly to the IOWN dividend sleeve's real-asset and rate-sensitive composition (NEE, BKH, ATO, DGX, FAST, CAT) and to the dispersion the committee has tracked across the energy-sleeve transmission chain. *Research Reveals Opportunities.*
- 2. Powell's term as Fed chair expires Friday, May 15 — Warsh's full Senate vote is expected this week.** Per Kiplinger compilations, the Senate is expected to take up the Warsh nomination during the same week the April CPI lands, and Powell's chair term ends Friday. The Banking Committee's 13–11 strict party-line approval per CNBC and the prior 8–4 FOMC dissent — the largest in 34 years — frame the institutional context Warsh would inherit. The combination of a hot CPI print and a chair transition would tend to amplify rate-path uncertainty across the rate-sensitive IOWN dividend sleeve in the coming sessions. *Avoid Erosion.*
- 3. Trump–Xi Beijing Summit May 14–15 — with Iran replacing tariffs as the principal agenda, the trade architecture moves to the side until the framework with Tehran clarifies.** Per CSIS and Brookings pre-summit coverage, the rare-earth supply commitments and Taiwan-related signaling that were expected to anchor the meeting are now sharing time with a coordinated approach to the Iran file. CNBC reporting indicates Iran focus may delay progress on tariffs and rare earths. The IOWN AI-edge cohort (TSM, NVDA, AMD, NXPI, MRVL, LRCX) carries the principal sensitivity to any Taiwan-related communique; the integrated-energy sleeve carries the principal sensitivity to summit-related Iran framework progress. *Think Like an Owner.*
- 4. Bitcoin holds near \$80,700 over the weekend — the digital-sleeve range has tightened around the \$80K midpoint.** BTC traded near \$80,700 Saturday and Sunday per CoinCodex weekend coverage, with ETH near \$2,327 over the same window per the same source. The post-COIN-print spot-versus-operational divergence the committee flagged Friday remains the working frame: IBIT and ETHA captured the asset-class direction last week (closing Thursday at \$45.40 and \$17.30 respectively in the data drop), while COIN's \$394M GAAP loss made visible the company-specific operational variance the spot-ETF positioning largely sidesteps. HUT's –7.12% Thursday print continues the physical-AI-power read-through linkage that has defined the IOWN expression of the digital sleeve. *Simplicity Over Complexity.*

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